The Fragility of Liquidity: Fund Runs, Fire Sales and Regulatory Intervention in Borsa Istanbul

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ABSTRACT

On 17 September 2026, the Capital Markets Board of Turkey (SPK) halted purchases and redemptions in 131 investment funds run by seven portfolio management companies and ordered them into liquidation. The funds held around 18 billion US dollars and had 455,758 investors. This paper explains the mechanism behind the episode: some funds that promised investors their money within one or two days held concentrated positions in shares that could not be sold quickly. When redemptions rose, managers sold what they could, prices fell across the market, and margin calls (demands for more collateral) on investors who had borrowed to buy shares added more forced selling. I argue that the crisis came from a mismatch between the liquidity a fund promises and the liquidity of what it owns. Each stage of the episode looks consistent with a mechanism described in the research on fund runs and fire sales, although I could not test this with fund-level data. I propose three rules that would reduce that mismatch: minimum liquidity buffers, concentration limits on thinly traded shares and longer notice periods for redemptions.

1. INTRODUCTION

In the years before 2026, retail savings in Turkey moved quickly into investment funds sold through TEFAS, the electronic platform where most Turkish funds are bought and redeemed. Some of these funds reported very high returns. In September 2026 the flow reversed. On 16 September, Tera Portföy said it had missed some payments because of withdrawals from two funds, and Pusula Portföy reported delays as well (Euronews, 2026). The next day the SPK stopped purchases and redemptions in all TEFAS funds of seven companies: Tera, Pusula, Hedef, Atlas, A1 Capital, Pardus and Bulls (Anadolu Agency, 2026). Finance Minister Mehmet Şimşek put the value of the affected funds at 18.3 billion dollars, about 10% of the sector (Turkish Minute, 2026).

What interested me was how ordinary the mechanism was. Nothing in it requires a new financial product. It only requires a fund that lets investors leave faster than it can sell its assets.

2. WHAT EXISTING RESEARCH PREDICTS

Four ideas from the economics literature help explain the episode. Diamond and Dybvig (1983) showed that a bank which promises depositors their money on demand while holding long-term assets can suffer a run even if it is solvent, because each depositor fears that others will withdraw first. They also showed that suspending withdrawals can stop such a run. Chen, Goldstein and Jiang (2010) found the same logic in mutual funds: when the remaining investors bear the cost of others' redemptions, outflows react more strongly to bad performance, and the effect is larger in funds that hold illiquid assets. Coval and Stafford (2007) showed that funds facing large outflows sell the shares they hold at prices below their fundamental value, and that those prices tend to recover once the selling stops. Finally, Brunnermeier and Pedersen (2009) explained how falling prices and tighter margin requirements can feed each other, so that a fall in market liquidity (how easily assets can be sold) drains funding liquidity (how easily investors can borrow) and the other way round.

The Turkish case appears consistent with all four. The rest of this paper follows the episode stage by stage and asks where it fits these models and where it does not.

3. THE STRUCTURE OF THE FUNDS

Some of the funds involved held large positions in shares with a small free float, meaning that only a small part of the company's shares were available for trading. Moving the price of a large company in the BIST 30 index (the 30 largest shares in Borsa Istanbul) takes heavy trading volume. Moving the price of a low-float share can take much less. In one case, funds managed by Pusula reached 38.67% of the food company Gündoğdu Gıda, according to a filing on the Public Disclosure Platform (KAP) in August 2026 (Saka, 2026).

When a fund owns a large share of a thinly traded stock, its own purchases can push the price up, and the higher price then raises the fund's reported value. The SPK has said that it saw fund-driven price moves in low-float shares in late 2025 that the companies' fundamentals did not explain, and it has referred several cases to prosecutors (Saka, 2026). In June 2026, the index provider MSCI also warned of "possible coordinated trading" in holdings linked to smaller Turkish listed companies (Euronews, 2026). These are allegations under investigation, not findings of a court. For this paper the important point is narrower: a fund whose value depends on prices it helps create may find that those prices do not hold when it has to sell.

4. THE LIQUIDITY MISMATCH

The core of the episode is a mismatch between what the funds promised and what they owned. Investors redeem through TEFAS, and under the SPK's rules for investment funds (Communiqué III-52.1), equity-intensive open-ended funds must normally pay redemptions within one or two business days. A fund holding liquid shares can meet that promise. A fund holding concentrated positions in low-float shares cannot, because selling a large block would push the price down sharply.

A manager facing heavy redemptions therefore has a bad choice. Selling the illiquid shares would crash their price and the fund's value. Selling the liquid shares first, often large BIST 30 companies, raises cash but spreads the selling to companies that had nothing to do with the original problem. Either way, investors who redeem early are paid at better prices than those who stay. Once investors understand this, they have a reason to leave before others do, which is how a run starts. This is the first-mover advantage that Chen, Goldstein and Jiang (2010) measured in US funds, and the Turkish funds may have had an unusually strong version of it because their holdings were so illiquid. I cannot confirm this without fund-level data.

5. HOW THE STRESS SPREAD: MARGIN CALLS

Falling prices did not stay inside the funds. They reduced the value of collateral held by investors who had borrowed to buy shares or who held leveraged positions in futures and options on VİOP, the derivatives market of Borsa Istanbul. When collateral falls below the required level, brokers issue margin calls, and positions that are not topped up are closed automatically.

Data from Takasbank show daily margin calls on VİOP of more than 1.14 billion lira on 8 September 2026 and about 1.76 billion lira on 16 September, the day before the SPK intervened (Foreks, 2026). These figures were high but not a record: the highest figure of 2026 was about 3.64 billion lira on 21 May 2026 (Dünya, 2026). Automatic liquidations add selling pressure at exactly the moment prices are already falling, which can push prices down further and trigger more margin calls. This resembles the spiral between market liquidity and funding liquidity described by Brunnermeier and Pedersen (2009). In the first week of the crisis, the Borsa Istanbul All Shares index fell 12%, and about 50 shares lost 40% or more (Euronews, 2026).

6. THE REGULATORY RESPONSE AND THE MORAL HAZARD PROBLEM

The SPK's response came in stages. On 17 September it halted the funds and ordered their liquidation, appointing Ziraat Bankası and İş Bankası to carry it out (Euronews, 2026). It also allowed the minimum equity ratio for margin trading, normally 35%, to be applied flexibly down to 20% until 2 October, which was meant to reduce forced selling by investors who had borrowed (Anadolu Agency, 2026). I have no data on whether it did.

On 21 September the liquidation period was extended from three to six months, and from 1 October investors could receive interim payments of up to one million lira per investor per fund (Saka, 2026).

These steps were reasonable in the short term, and the first and last have a basis in the research. Halting redemptions is the modern version of the "suspension of convertibility" that Diamond and Dybvig (1983) proposed as a way to stop a run. A longer liquidation period follows from the finding of Coval and Stafford (2007) that prices depressed by forced sales tend to recover, so selling more slowly may leave investors with more of their money. But such steps also create a moral hazard problem, meaning more risk-taking when someone else bears the cost. If managers and investors come to expect the regulator to halt trading, relax margin rules or arrange partial payments whenever a fund fails, they have less reason to avoid the risk in the first place. A manager might keep offering daily liquidity on illiquid assets, expecting that the regulator will step in if the promise cannot be kept.

One detail complicates this. The SPK had already tightened the rules before the crisis: it raised the financial-asset threshold for qualified investors from one million to ten million lira in December 2025, changed TEFAS settlement rules on 20 July 2026 and introduced a new valuation rule on 31 July (Saka, 2026). The run came after these changes, not before them. This may mean that rules introduced after a problem has built up can expose it rather than prevent it, but one episode and public sources cannot show that.

7. POLICY PROPOSALS

The proposals below target the mismatch directly.

Minimum liquidity buffers. Funds that offer short redemption periods should hold a minimum share of their assets in cash or highly liquid securities. This should let them meet a first wave of redemptions without selling their illiquid holdings at once.

Concentration limits on low-float shares. Limits on how much of a thinly traded company a fund, or a group of funds under the same manager, can own should reduce both the risk of being unable to sell and the incentive to support prices through the fund's own buying.

Longer notice periods. Funds holding less liquid assets should give investors their money only after a longer notice period, for example seven or fifteen days. This matches the fund's promise to the liquidity of what it holds and would reduce the advantage of leaving first.

The European Union has moved in a similar direction. Under the revised EU fund rules (AIFMD and UCITS), which member states had to apply from 16 April 2026, open-ended funds must select at least two liquidity management tools from a list set out in the directives (AFM, 2026). Comparing the Turkish case with that framework is the subject of my next piece of work.

8. LIMITATIONS AND NEXT STEPS

This paper relies on public sources: SPK announcements, KAP filings, market data and news reports, many of them written while events were still unfolding. Several dates and filings come from one secondary source (Saka, 2026). I did not have access to fund-level redemption data or to the trades of individual funds, so I cannot measure how large each channel was. The allegations of price manipulation and fraud are still under investigation, and nothing in this paper should be read as a judgment on any company or person.

A natural next step is to test the mechanism with data. TEFAS publishes daily prices, fund sizes and investor numbers. Comparing the funds that were liquidated with other equity funds in the months before September 2026 would show whether their growth, concentration and outflows looked different, and whether the first-mover pattern found in other countries appears in Turkish data.

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